

AN EXAMPLE OF THE WILLINGNESS TO PAY, or WTP, not "WPA"



Description: *Black & Decker Cooltouch Two-Slice Toaster.* Has super-wide slots for extra thick bread, bagels, and English muffins. Exterior stays cool to the touch. Removable crumb tray for easing cleaning.

First, please enter the last two digits of your social security number (SSN:) _____

1. Assume you are not sure if you want to buy the toaster, and if so, what price would you be willing to pay for it? Assume now that the last two digits of your SSN are a price in dollars. Would you be willing to buy this toaster at this price? **YES/NO**
2. What is the lowest price for which you would be willing to buy this toaster/ \$ _____

Figure 3.2 Anchoring Example

Remarkably, the value for the last two digits of one's social security number *actually influences the buyer's willingness to pay*. Buyers with SSNs above 50 report a willingness to pay \$32.50, whereas, buyers with SSNs less than 50 report being willing to pay \$25. Those in the control group, who were not asked their SSN in advance, reported being willing to pay an average price of \$30. The researchers repeat this experiment on different consumer products (phones, backpacks, headphones, etc.) and find similar results. The evidence from this study—and many similar studies—highlight the power of anchoring on our decision-making process (see [Figure 3.3](#)).